

lations for NBFCs—which are primarily in terms of monitoring, inspection and audit—proved to be the last straw for HDFC, which has investments in banking, asset management, insurance and education loans. Under the new framework, the regulatory structure has four layers based on size, activity and perceived risks. HDFC, by virtue of its size, comes under the topmost layer with a regulatory regime closer to banks. The bank-like treatment for a large NBFC like HDFC means enhanced regulatory requirements in terms of governance, inspection, and audit.

“The RBI will continue to tighten the restrictions because of the systemic risk that non-banks pose to the financial system,” says Abizer Diwanji, Head-Financial Services, EY India. If, operation-wise, HDFC is going to be closer to a bank in every respect—from core banking, audit, LCR requirements, governance, etc.—then the mortgage player is just left with CRR, SLR and lending to the priority sector.

Even if HDFC successfully navigated the choppy regulatory waters, the bigger question was, who would steer the ship in the coming decades? HDFC’s top management wasn’t getting any younger. Besides septuagenarian Parekh, both Vice Chairman and CEO Keki Mistry (67) and Managing Director Renu Sud Karnad (69) are nearing retirement age.

“The legacy management of the mortgage lender has already reached a certain age,” says Harendra Kumar, Managing Director, Elara Securities (India). And, going by the new guidelines, there was a probability that, like banks, the tenure of an NBFC’s CEO may be capped in the future, while there could also be an upper age limit for the chairman, CEO and directors. A succession plan needed to be in place. Also, the single-product HDFC was up against banks like the State Bank of India (SBI) and ICICI Bank, which have access to low-cost funds. For the mortgage giant, it was like feeding an elephant with no real advantage of its size under the new regulatory regime. This set the stage for a merger with HDFC Bank.

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REGULATORY TAILWINDS ARE not the only reason for the coming together of HDFC and HDFC Bank. The merger also makes good business sense. Over the past 28 years, the bank has become much larger than its parent, with a balance sheet of ₹19.38 lakh crore,

against HDFC’s ₹6.23 lakh crore. HDFC Bank’s market cap, too, is more than double that of the mortgage company, while its loan book is at ₹12.6 lakh crore, against HDFC’s ₹6.18 lakh crore. The merger will lead to a combined balance sheet of ₹25.61 lakh crore, narrowing the gap with SBI, the country’s largest lender, which has a balance sheet of ₹48.21 lakh crore. (See *The Making of a Behemoth*).

Size has its advantages. A larger balance sheet would enable the combined entity to disburse larger-ticket loans. In addition, non-bank loan businesses ranging from asset management to insurance to education loans will also come under its fold. The structure of the merged entity would be similar to a universal bank like SBI and ICICI Bank. “A larger balance sheet will allow a greater flow of credit into the economy. It will enable underwriting of larger-ticket loans, including infrastructure, which is an urgent need for the country,” said Parekh. The safe and secured mortgage portfolio will become the largest business within the bank, with a 33 per cent share of the loan portfolio. In fact, the merged entity will have the country’s largest mortgage portfolio of ₹5.46 lakh crore. The low cost of funds, especially current accounts and savings accounts (CASA), and the huge distribution franchise of the bank will be available for the mortgage business. “As of now, 70 per cent of HDFC Ltd and its subsidiaries’ customers do not bank with HDFC Bank, which would provide tremendous cross-sell opportunities to the merged entity,” says Gaurav Jani, Research Analyst at Prabhudas Lilladher. However, S&P Global adds a word of caution. “The efficiency gains will depend on the smooth integration of systems and processes,” it says in its report.

For HDFC, the merger, as Parekh said, is very promising. And here’s why. “It is challenging to raise wholesale resources from the market the moment you attain a certain scale... And it brings in constraints for growth,” explains Elara’s Kumar, adding that it had become uneconomical for HDFC to operate like an NBFC. The merged entity will refinance HDFC’s high-cost funds with low-cost deposits. The bulk of the borrowings of the mortgage giant is from debentures (41 per cent) followed by public deposits (32 per cent). But it is easier said than done. Currently, 40 per cent of HDFC’s borrowings are locked in for over five years.

The prepayment of high-cost or long-tenor borrowings doesn’t make sense, as these are large borrowings that can create asset liability issues. The borrowers also have to agree, which is not a given. This means, according to experts, that all borrowings and liabilities will run through their stated maturities on their contracted terms. On maturity, the borrowings